

FORECASTING STANDARD

Model the assumptions. Stress the load. Replace the forecast with actuals.

CONTROLLED DOCUMENT

CLASSIFICATION	CONFIDENTIAL / INTERNAL / OWNER + NAMED AUTHORITY
EDITION	01 / SEPTEMBER 2026
APPLICATION	MULTI-YEAR FORECASTING / ASSUMPTION CONTROL / STRESS REVIEW
AUTHORITY	OWNER / NAMED FINANCIAL PLANNING AUTHORITY
NEXT REVIEW	SEPTEMBER 2027 OR EARLIER AFTER MATERIAL MODEL / COST / CAPACITY CHANGE
SITE	
ACTIVITY	

LABEL. MODEL. STRESS. UPDATE.

01

Purpose and limits

This standard governs how a house builds, labels, tests, and updates a planning forecast. It does not turn assumptions into promises.

PURPOSE

Use a forecast to organize a planning horizon, make assumptions visible, test whether the model can carry its expected load, and create a disciplined point of comparison when actual results arrive.

THIS STANDARD DOES NOT CREATE

- **A guarantee.** Forecast revenue, demand, utilization, occupancy, rates, costs, or capacity may differ materially from actual results.
- **A valuation.** The model does not determine what the business is worth.
- **A tax return or accounting record.** Actual books and tax reporting live in the systems designated for those purposes.
- **A lender package.** A lender may require different assumptions, support, disclosures, and professional review.
- **A substitute for the Business Plan or Road Beyond Launch.** The Plan frames the picture; Forecasting owns the model; Road Beyond uses actual results after launch.

BOUNDARY

A forecast can be useful only to the extent that the business can explain where its inputs came from, why they change, and what happens when the model is stressed.

02

What a forecast is

A working model is valuable because it can be explained, sourced, stressed, and replaced when better information appears.

EXPLAIN

The owner can state what each major input means and how it affects the model.

SOURCE

Every material figure is tied to a quote, estimate, operating assumption, or actual result.

STRESS

The house tests at least one lower case and identifies what the operation must still be able to carry.

REPLACE

When actuals arrive, the model is updated. Prior assumptions are preserved as history, not silently treated as truth.

WORKING RULE

The forecast is not valuable because it looks precise. It is valuable because the owner can show the assumptions, challenge them, and revise them when evidence changes.

03

Assumption control

Every material input is labeled. Numbers without a source label are not decision-grade.

ASSUMPTION CLASS	WHAT IT MEANS	HOW IT MAY BE USED
Verified quote	A current written price, rate, contract figure, or other evidence retained by the house.	May support a planning decision, subject to its scope and date.
Owner estimate	A reasoned planning estimate created by the owner and clearly identified as an estimate.	May be modeled, but remains an assumption that should be stressed and replaced when better evidence appears.
Unlabeled / unknown	A figure entered without a defensible source or explanation.	Not usable as the sole support for a GO, capital commitment, or growth assumption.

YEAR-OVER-YEAR REASON RULE

Every material change from one forecast year to the next has a written reason. A higher rate, greater capacity, stronger utilization, lower cost, longer season, or added revenue line is not carried forward merely because the prior year is over. Momentum is not a source.

SOURCE NOTE SHOULD ANSWER

- Where did this number come from?
- When was it verified or estimated?
- What would make it change?
- Which assumption depends on another decision that is still open?

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Model structure

The house names the forecasting pattern it actually uses. This standard does not declare one formula to be universally correct.

MODEL COMPONENT	CONTROL QUESTION
Units / capacity	What can actually be sold, rented, booked, or delivered during the period?
Utilization / occupancy	What portion of available capacity is expected to produce revenue, and why?
Rate / average value	Which rate or average transaction value is modeled, and what supports it?
Operating days / season shape	How many realistic operating periods are available, including seasonality or downtime assumptions?
Other revenue, if used	Is the line real, separately supported, and operationally possible - or merely an idea?
Operating costs	Which fixed and variable loads must the business carry at the modeled scale?
Working capital / reserve note	What liquidity or reserve assumption is required to survive timing gaps, low periods, or interruptions?

ONE PATTERN AMONG OTHERS

A capacity-based model may use units or capacity, utilization or occupancy, rate, and operating days. Another business may require a different pattern. The house documents the pattern used instead of presenting one formula as the only formula.

05

Year discipline

The model becomes more evidence-driven as the business accumulates its own operating history.

YEAR 1 - NO HOUSE HISTORY

Use conservative assumptions. Separate what is verified from what is estimated. Do not borrow certainty from another business or from a best-case launch plan.

YEAR 2 - CHANGE WITH A REASON

Adjust only what actual Year 1 evidence or a named management decision supports. Capacity, rate, season, cost, staffing, and demand do not rise automatically.

YEAR 3 - EVIDENCE STILL GOVERNS

A more established operation still requires written support. Expansion, replacement, new service lines, or another location are decisions - not default forecast steps.

REVENUE IS NOT RESULT

Higher revenue does not establish higher profit, stronger cash flow, or greater financial resilience. Expenses, debt service, capital needs, taxes, reserves, owner distributions, and other obligations may move differently from revenue.

06

Stress the model

A base case should not be treated as supportable until the house has examined at least one lower case.

MINIMUM CONTROL
Name the factor being reduced. Apply the lower case consistently. Then ask whether the model can still carry the fixed load the house actually must carry.

STEP	QUESTION
1. Name the factor	Revenue, utilization, occupancy, rate, operating days, volume, or another material driver.
2. Set the lower case	Use a documented lower assumption. For example, a house may test 75% of modeled revenue, but this standard does not prescribe a universal percentage.
3. Re-run the load	Can the model still carry the fixed obligations the house has identified?
4. Record the implication	If the lower case cannot carry the fixed load, the base case requires adjustment, more capital, lower commitments, more research, or a different model.

FIXED LOAD MAY INCLUDE, WHEN APPLICABLE

- Facility obligations
- Insurance
- Debt or financing obligations
- Core payroll or contracted support
- Maintenance / replacement reserve
- Essential systems and professional costs

07

Forecast decision

The decision describes the model as it stands today. It does not certify future performance.

SUPPORTABLE ON CURRENT ASSUMPTIONS

The current base and lower case are coherent enough to support the next planning step, subject to open professional or operational conditions.

ADJUST

The model may remain useful, but one or more assumptions, costs, capacities, or commitments need revision.

CONTINUE RESEARCHING

Material inputs remain too uncertain or insufficiently sourced for a decision-grade model.

TOO AGGRESSIVE

The current model depends on assumptions that the available evidence or stress test does not reasonably support.

NOT READY

The model is not prepared enough to support implementation or capital movement.

A decision is dated. A changed assumption creates a new decision point.

08

Actuals close the year

When a forecast period ends, actual results replace the planning assumption as the reference point for the next model.

01 CLOSE THE PERIOD

Use the house records designated for actual revenue, expenses, capacity, downtime, and other tracked measures.

02 COMPARE

Identify where actual results materially differed from forecast assumptions.

03 EXPLAIN

Record what changed: demand, rate, cost, season, availability, operating days, capacity, or another driver.

04 UPDATE

Revise the next period model with the actual result or a newly supported assumption.

05 PRESERVE HISTORY

Keep the prior forecast as the record of what was believed at the time. Do not silently overwrite it and call the old assumption true.

ANNUAL REVIEW RULE

The end-of-year review uses the figures the house actually tracks. This standard does not create a second accounting system or require invented metrics.

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Relation of documents

Each controlled document has one job. Forecasting owns the model; it does not absorb the rest of the operating system.

DOCUMENT	JOB	FORECASTING RELATION
Business Plan	Controlled picture of the concept, market, assumptions, investment picture, and planning decision.	The Plan may cite the forecast picture without reproducing the full model.
Forecasting	Model of labeled assumptions across the planning horizon, including lower-case stress and annual updates.	This file owns the model.
Launch Roadmap	Sequence of gates from planning to controlled first operations.	Forecast outputs may support capital and readiness gates; the roadmap does not become the financial model.
Road Beyond Launch	Post-launch review of actual evidence and controlled growth decisions.	Uses actuals and updated assumptions after launch; it does not preserve old projections as truth.

DOCUMENT DISCIPLINE

Plan = picture. Forecasting = model. Launch Roadmap = path to first operations. Road Beyond = evidence after launch.

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Closing notice

Forecasting organizes uncertainty. It does not remove it.

CONTROLLED NOTICE

This is an experience-based planning and organizational standard.

It is not a guarantee of revenue, utilization, occupancy, pricing, demand, cash flow, operating result, profit, financing, valuation, tax treatment, or business performance. It is not accounting, tax, legal, investment, insurance, lending, or valuation advice.

Markets, prices, costs, seasonality, regulations, insurance, capacity, staffing, financing, asset availability, downtime, customer demand, and management conditions may change. The owner remains responsible for verifying current information, preserving source support, reviewing material assumptions, and obtaining qualified professional guidance when appropriate.

Forecasting is not about being right early.

It is about making the assumptions visible enough to challenge.

LABEL WHAT YOU KNOW.

NAME WHAT YOU ESTIMATE.

STRESS WHAT MUST CARRY THE LOAD.

REPLACE ASSUMPTIONS WHEN ACTUALS ARRIVE.

We share the method. You decide how to build it.